Eligible Borrowers

- Credit Guarantee Schemes for Banks (CGS-I)
- Credit Guarantee Scheme for NBFC (CGS-II)
- PM SVANidihi
- PM Vishwakarma
- Credit Guarantee Scheme for Co-Lending (CGSCL)
- Process for availment of loan under Credit Guarantee Scheme

1. Which type of borrowers can be covered under the Scheme?

New and existing Micro and Small Enterprises engaged in manufacturing or service activity excluding Agriculture, Self Help Groups (SHGs), Joint Liability Group (JLG).

2. Whether Borrowers from all service sector enterprises are eligible under the Scheme?

As of now, all activities that come under service sector as per MSMED Act, 2006 are eligible for coverage under the scheme.

3. Whether loans given to Small Road Transport Operators are eligible for coverage under the Scheme?

Yes. Small road and water transport loans are eligible for guarantee cover.

4. Is it compulsory for the borrower to obtain Income Tax Permanent Account Number [IT-PAN] to be an eligible borrower?

Under the Guarantee Scheme, a borrower is required to obtain IT PAN number prior to availing of credit facility from the eligible lending institution. Also it is a mandatory requirement under section 139A(5) read with section 272(C) of the I.T Act 1961 to indicate IT PAN on all tax documents which include returns, challans, appeals, etc. However, in respect of loans up to 5 lakh, CGTMSE is presently not insisting that the IT PAN be obtained at the time of availing of the guarantee cover. IT Pan No. is to be indicated in respect of credit facility above 5 lakh. Nevertheless, the MLIs have been advised to inform their borrowers to apply for IT PAN number. It is desirable to indicate IT Pan No. in all the application irrespective of the amount. (Refer Circular no. 206), It is mandatory to obtain Udyam Registration Number of every borrower and feed it in the system at the time of submission of new application .

5. Is guarantee benefit available to existing units of a lending institution which has become a MLI of CGTMSE?

Yes, existing credit facilities can be covered provided the credit facility was not restructured / remained in SMA2 status in last 1 year from the date of submission of application. In case, collateral security obtained, the unsecured portion can be covered under “Hybrid Security” product where the MLIs is allowed to obtain collateral security for a part of the credit facility, whereas the remaining part of the credit facility, up to a maximum of ₹10 crore, can be covered under Credit Guarantee Scheme of CGTMSE.

6. Is it necessary that a borrower to be eligible should obtain all the required credit facilities from a single institution?

Credit facilities can be extended by more than one bank and/or financial institution jointly and/or separately to eligible borrower up to a maximum limit of ₹10 crore per borrower subject to ceiling amount of individual MLI or such amount as may be specified by the Trust. However, sharing of securities will not be permitted.

7. Co-financing to a MSE unit by Financial Institution with a Commercial Bank can be covered under the Scheme?

Yes, joint financing by a financial institution (e.g. SIDBI, NSIC, and NEDFi) and Commercial bank can be covered under the scheme. For e.g. MSE unit is financed by term loan from State financial institution and Working capital from a commercial bank. However, sharing of securities will not be permitted.

8. Whether credit facility extended to self-help group can be covered under the scheme?

No. At present, as per the Scheme, the credit facility extended to Self Help Group cannot be covered.

No. of Visitors - 18960623

Quick Links

Credit Guarantee Schemes for Banks (CGS-I)
Credit Guarantee Scheme for NBFC (CGS-II)
PM SVANIDIHI
Credit Guarantee Scheme for Co-Lending (CGSCL)

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